gaps will close. Competitors appear on the horizon and consumer tastes may change.

Take the example of Montgomery Ward stores. In the very early days, its founder Aaron Montgomery Ward innovated with the proclamation, “Satisfaction guaranteed or your money back.” At the time, returning merchandise was a difficult thing to do. It was virtually impossible if the merchandise packaging had been opened. Montgomery Ward saw an arbitrage gap and exploited it. His money-back guarantee was novel and compelling for most consumers and Montgomery Ward scaled rapidly.

Sears, another innovative upstart, seeing the success of Montgomery Ward, adopted a similar slogan. Virtually none of its competitors adopted this seemingly bizarre approach to business. After all, it required you to fully trust Joe Public who walked into your store with anything he had bought earlier and wanted to return, for any reason. All Joe had to say was that he wasn’t satisfied, and Sears or Montgomery Ward would issue a refund. This arbitrage spread lasted for several decades. Today, however, that spread has pretty much closed in most of the developed world. Any retailer needs to offer such a guarantee simply as a price of entry; it is as fundamental as saying *thank you.* Consumers expect it from every retailer.

When that spread closed, both Sears and Montgomery Ward no longer had a compelling reason to draw shoppers in. The result is that Wards finally went out of business in 2000 and Sears is a shadow of its former self. It can’t compete with Wal-Mart on price and efficiency; it can’t compete with Target for the upscale customer; and it can’t compete with the category killers like Home Depot or Best Buy. Same store sales for Sears have been declining consistently for several years. Both the Sears’ and Ward’s catalogs, another arbitrage spread innovation, were buried many years ago.

Ford Motor Company’s primary innovation was the assembly line. This allowed the mass production of automobiles at vastly reduced costs. Not only was the assembly line adopted by every Ford competitor, but it became standard across virtually all manufacturers in all industries. The assembly line arbitrage spread closed for Ford many decades ago. General Motors’ innovation was the segmentation of the auto market by creating brands and